CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EC286D8C0
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Mark Schroeder <mark.schroeder@enron.com>
Sent: Wed, 6 Dec 2000 09:01:00 -0800 (PST)
To: Jeff Dasovich <jeff.dasovich@enron.com>, Nicholas O'Day <nicholas.o'day@enron.com>
Cc: Paul Dawson <paul.dawson@enron.com>, Richard Shapiro <richard.shapiro@enron.com>
Subject: SF and Tokyo

Here is a follow-up proposal from Professor Littlechild, after his San Francisco/Tokyo trips. He is inquiring as to whether we would want to retain him to do some rebuttal to Ruff/Hogan/et al on retail markets importance. I am not championing him, and both Nick and Jeff have had a chance to gain the measure of the felow. He has come to his views a bit belatedly, for a regulator who was in the chair for 9 years, but over here he is a highly respected academic, and I might still think about using him in Europe for just this purpose. His low-key style will go dwon well, and his views will be respected. Any use for this type of work in your markets, let's discuss. Otherwise, I might let him know that he is free to consult for a Japanese firm, which does not trouble me, as I think he holds views that would find their way into Japanese thinking in a way that would be a net benefit for us, rather than losing an ally. Look forward to hearing from you. thanks mcs
---------- Forwarded by Mark Schroeder/LON/ECT on 06/12/2000 17:00 ----------

"Stephen Littlechild" <littlechild@tanworth.mercianet.co.uk> on 04/12/2000 16:49:17
To: "Mark Schroeder" <mark.schroeder@enron.com>
cc: "Bridget Paveley" <bpaveley@legendjsm.net>

Subject: SF and Tokyo

Dear Mark
?
Just back from Japan and sorting out affairs.?I had a good meeting with your colleagues in the Tokyo office on Friday.? They are very well informed about developments there, and provided an excellent analysis of the situation.? I suspect your colleagues in San Francisco are equally well informed, though I was not yet able to meet them individually as you know.? In meetings with regulators and companies I was also able to?put the case for full retail competition in both markets, and for creating the situations in which this would be possible.? As far as I can gather, this would be consistent with the arguments that Enron has been putting.

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ENRON-1051171475593

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It strikes me that the regulatory authorities in both areas are looking for guidance.? No doubt your colleagues are submitting advice in various appropriate ways.? I'm not sure how much of this is written down or published.? I have seen papers and testimonies submitted to regulatory commissions, and published in journals such as the Electricity Journal in the US, by people such as Larry Ruff and Bill Hogan.? They are in favour of competition in principle, but it seems to be a rather regulated form of competition, preferably in?a tightly regulated Pool, and one which regards retail competition and trading as rather marginal.??I have not seen much published in the way of counter arguement.
?
If you are looking for an area that we might develop together, the possibility of a public counter argument to these commentators might be a useful one. That might also extend to rebutting the arguements for hard price caps on generation, as adversely affecting the prospects for trading as well as for new entry into generation. And it might extend to rebutting the arguments of these same people against bilateral trading instead of a compulsory Pool, eg concerning the devleopments of NETA in E&W. I note that FERC's recomendations in California move in this direction, but Hogan has mostly rubbished this and argued for something else. Finally, there are the issues surrounding nodal pricing and flowgates, which I do not pretend to be an expert on, but where I suspect that Hogan et al give too little weight to the implications for trading. I'm sure that your people are well up on these issues, and able to put the case themselves.? What I could bring would be partly the experience and authority of a previous regulator.? But also the rethinking about economics, and relating this to modern developments in economics (both Austrian ideas and transactions cost economics), that I think is necessary to shift the ground on which the others are fighting.
?
Let me know if you would like to take this forward.? I should say that I was asked if I would join in a bid to provide advice to one or more of the large incumbent electricity companies in Japan.? We agreed that this would probably be incompatible with advising Enron, so I said that I would defer any decision until I had spoken to you.
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In the meantime, many thanks for helping to fund both trips, and indeed making them possible.? You kindly agreed to cover one day's fee in each country plus the balance of unrecovered?air fare to Berkeley.? I am asking my secretary Bridget to invoice you accordingly.
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I look forward to hearing from you in due course.
?
Best wishes
Stephen

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